SMCF II
Group Assignment
Group-8

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1. Case summary

Asian paints ranked among top 10 decorative coating companies globally was the first paints producer to offer painting as a service to consumers, Asian Paints Home Solutions making it a niche product while enabling higher margins which was later upgraded to BHPS. Simultaneously, they adopted dealer led service, Paint Total and Paint Right as well to scale up the painting services and also to reduce the dependency on the contractors in APHS. Even during COVID-19, they provided personal and professional variant of sanitization services. Along with this, they were the first to introduce on time service or money back promise. This generated almost 200000 enquiries when the campaign was announced on national television. The company realised associates who worked from dealer's retail outlet interacted with customers directly and so the company launched Starmaker Associate program; the associates who completed the program showed a decline in the complaints from the customers.

Since BHPS was a premium service, they introduced TCS which though did not provide as much services as BHPS but had a better conversion rate.

With risk of cannibalisation, Syngle faced two critical decisions. First, should the company rely on dealers or scale TCS to retain price-sensitive customers? Second, how to maintain the quality and brand premium while expanding? He wanted to make the brand aspirational, so, from the brand perspective, should BHPS position as mass market or aspirational. Beyond painting, could adjacent home services like waterproofing, wood treatments unlock synergies and strengthen dealer economics while deepening customer relationships?

2. Brief Synthesis

Protagonist: Mr. Amit Syngle
Context: TAM: $15.04 Billion
SWOT Analysis

STRENGTHS	**WEAKNESSES**
● 50% market dominance ● 2,146 dealers & 5,583 contractors by 2023 (Exhibit 4) ● Six-step standardized process (Exhibit 5a) ● Salesforce integration for tracking (Exhibit 7) ● 20% moneyback guarantee ● Multi-tiered retail strategy (Exhibit 2)	● Associate churn rate exceeds 50% (Exhibit 8) ● TCS cannibalizing BHPS margins ● Franchise-partner dependency ● Vulnerable to contractor variance
OPPORTUNITIES	**THREATS**
● Market CAGR at 9.34% through 2029 ● Allied services like waterproofing and finishing ● Premium wall textures for upmarket segment ● Rural market penetration opportunity ● Housing for government initiative ● Shorten repainting cycles (from 7 to 3–5 years)	● Berger (18%) & Kansai (15%) competition ● New entrants like JSW Paints, Aditya Birla Opus ● Price sensitive consumer segments ● Margin squeeze from TCS pricing pressure ● Inconsistent contractor quality inconsistency

Decision Points: This is not an operational case instead its a strategic marketing and growth case.

3. Identification of issues – with specific evidence:

- To scale BHPS program from 100,000 to 10,00,000 a strategy will be required which does not compromise with the quality of service, keeping complaint rate less than 1%. (Mentioned in the introduction Paragraph **)**

- Asian Paints will need to decide if it wants to emphasise on the dealer led model or expand the Trusted Contractor Service (TCS). (Mentioned in the introduction Paragraph **)**
- How should the BHPS be positioned- a mass market service or premium aspirational brand. (Mentioned in the introduction Paragraph **)**
- Take responsibility for learning and development of a rapidly growing requirement of contractor employees. (**Exhibit 5)**
- The 20% money back guarantee can shrink the margins if value is increased.**(COVID PANDEMIC: THE INFLECTION POINT- 4th paragraph)**
- How to leverage digital technology effectively for customer engagement, product development and operational control. (**Exhibit-7)**
- Expansion of interior and decor services while maintaining existing quality of product and services. (**Exhibit-6)**

4. Central Marketing issues or decision problems facing the protagonist:

What growth strategy should Amit Syngle adopt for BHPS to achieve aggressive expansion while deciding the appropriate service delivery model, market positioning, and customer value proposition without compromising the Asian Paints brand?

5. **Distinguish between core issues & secondary issues:**

Core issues :

1. Expansion of BHPS services from 100000 to 1 million homes annually.
2. Whether to continue with the dealer led service model which is having conversion rate of 6-7% or to go ahead with TCS which is having a higher conversion rate of 20-25%.
3. How to ensure high quality service while boosting the brand equity for Asian Paints, while trying to grow company services exponentially.
4. how should the company position BHPS , whether to put it as a mass or aspirational brand.

Secondary issues :

1. Increasing competition from other competitors like (Berger , Nerloc paints etc) along with the new entrants like JSW Paints and Aditya Birla Opus.
2. Scaling of BHPS would require a huge investment in Trained painters, technology, and dealer capabilities.
3. Risk of cannibalization due to introduction of TCS.

6. Proposed solution

- Asian Paints should continue both the models in Tier 1 cities but they should divide the portfolio 50:50 since some customers are willing to pay a premium for the services. On the other hand, focus on the TCS model in Tier 2 and Tier 3 cities.
- Platinum warranty card should be issued only after the digital audit of the site health card and the site completion card. (Exhibit -6)
- We will give better lead opportunities to the dealers with higher NPS rating which will help us to maintain customer satisfaction and the quality standard.
- We can introduce premium BHPS and standard BHPS. Premium BHPS will focus on home studios, italian textures and high touch design consultation whereas standard BHPS will focus on 20% money back assurance and hassle free execution to capture the high volume lead market.